

Ashfield Water Authority

The bonds had not changed. The board's reaction to them had.

The Ashfield Regional Water Authority held a \$240 million operating and capital reserve, invested under a policy that permitted only Treasury and agency securities with maturities under thirty years. In 2021 the Authority's finance director had extended the portfolio, buying a block of seven-year Treasury notes with a 3.25 percent coupon at par, and a smaller block of twenty-five-year Treasuries, also 3.25 percent, also at par. The reasoning at the time had been that the reserve had no near-term call on it and that the yield curve paid for duration.

By early 2026 the seven-year point on the curve was at 5.40 percent. The quarterly investment report, which the Authority published, showed the seven-year block marked at 87.60 and the twenty-five-year block at 70.69. Against \$240 million of cost, the portfolio's market value was down roughly \$40 million.

The local paper ran the figure under the headline "Water Authority Loses \$40 Million." Two board members asked for the finance director's resignation. A third, Hollis Nakamura, who had spent a career in insurance investments, asked for something else: a memo explaining, in language a ratepayer could follow, whether the Authority had lost money.

The finance director's draft memo made four claims. First, that the bonds would pay \$100 at maturity regardless of what happened to rates, so the loss was unrealized and would disappear. Second, that the portfolio's current yield — coupon divided by price — had risen from 3.25 percent to 3.71 percent, so income had improved. Third, that the Authority had no plans to sell. And fourth, that the twenty-five-year block, being further from maturity, was the safer holding because it had more time to recover.

Nakamura found three of the four claims wrong or misleading and wanted them out of the memo before it went to the board.

EXHIBIT 1 — THE PORTFOLIO

	7-YEAR BLOCK	25-YEAR BLOCK
Coupon	3.25%, semiannual	3.25%, semiannual
Remaining maturity	7.0 years	25.0 years
Purchase price	100.00	100.00
Current market yield	5.40%	5.40%
Current price	87.60	70.69
Par amount	\$180m	\$60m

The Authority's reserve policy requires that at least \$40 million be available within twelve months for capital projects. A \$38 million treatment-plant expansion was approved in November 2025 and is scheduled to draw funds beginning in the third quarter of 2026.

ASSIGNMENT

- 1 Verify the two prices from the coupon, maturity, and yield.
- 2 Take each of the finance director's four claims in turn. For each, say whether it is right, wrong, or misleading, and why.
- 3 Suppose the Authority holds the seven-year block to maturity. What annual return will it have earned on the original \$180 million, and what does that depend on that the memo does not mention?
- 4 The Authority needs \$38 million in the third quarter. Which block should it sell, and what is the argument on the other side?
- 5 Write the two sentences you would put at the top of the memo for a ratepayer.